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Determinants of Work Force Reduction Strategies in Declining Organizations

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Declining organizations frequently, sometimes necessarily, reduce their work forces. This paper introduces a hierarchy of work force reduction strategies and advances a series of propositions focusing on organizational and environmental variables that influence the managerial choice of work force reduction strategies.

Work force reduction is a common strategic response to organizational decline. For example, Zammuto and Cameron (1985) recommended that organizations facing sudden resource scarcity should use a strategy of domain consolidation—reducing the scale of operations to protect their core markets, technologies, and services. Harrigan's research on declining industries (1981, 1982) indicates that the timely use of exit strategies, which include plant closings, may be appropriate managerial responses. Carrying out such strategies often entails large scale work force reduction.

Once top management has chosen to reduce the work force, it must decide how best to accomplish such shrinkage. Layoffs are used most frequently, but managers also use other strategies, including natural attrition, inducements for early retirement, shortened work weeks, and transfers to other jobs, departments, or plants.

Different methods of work force reduction generate different costs for organizations and employees. Organizations that choose slow-acting strategies such as natural attrition may suffer the economic burden of paying employees who are no longer needed; other strategies that avoid layoffs, such as monetary inducements for resignation or early retirement, also can be expensive. With layoffs come direct and indirect costs, including increased unemployment insurance premiums, severance payments, and outplacement support (Heneman, Schwab, Fossum, & Dyer, 1986; Greenhalgh & McKersie, 1980). Lawsuits for wrongful termination may prove especially costly (Ewing, 1983; Youngblood & Tidwell, 1981).

Layoffs can produce feelings of job insecurity among employees who survive initial reductions (Brockner, Davy, & Carter, 1985; Greenhalgh & Rosenblatt, 1984), leading to a variety of adverse effects. For example, turnover may increase among the firm's most valuable employees (Greenhalgh & Jick, 1979; Sutton, 1983), commitment and loyalty may plummet, and surviving employees may become rigid in their behavior (Staw, Sandelands, & Dutton, 1981). Evidence regarding the effects of layoffs on survivors' pro-

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ductivity is mixed. Laboratory studies suggest that "survivors' guilt" leads to increased effort (Brockner et al., 1985; Brockner, Greenberg, Brockner, Bortz, & Carter, 1986), whereas field studies suggest that job insecurity reduces productivity (Greenhalgh, 1982).

Employees who lose their jobs also incur costs, and ethical imperatives dictate that such costs be weighed when choosing among alternative strategies. Job loss threatens both physical and mental health. For workers who have been displaced, layoffs can cause physiological stress, including hypertension, arthritis, peptic ulcers, and elevated cholesterol levels (Buss & Redburn, 1983; Cobb & Kasl, 1977). Layoffs also can have adverse effects: Workers who are displaced in major layoffs or plant closings experience longer unemployment, greater reduction in earnings, and less stable subsequent work histories than do the unemployed in general (Flaim & Sehgal, 1985; Jacobson, 1979). Even strategies short of layoff, such as involuntary transfer, can threaten the well-being of employees (Brett, 1980).

Despite the costs of work force reduction to declining organizations and their members, little attention has been paid to how managers choose among alternative strategies. This paper advances a series of propositions concerning the determinants of work force reduction strategies, and it explores their implications for theory and research.

The Dependent Variable

This paper predicts variation in a hierarchical dependent variable that represents five levels of strategies for reducing the work force. The five levels in Figure 1 reflect the central trade-off that managers make when choosing a work force reduction strategy: protection of employees' well-being versus short-term cost savings to the organization. The five levels are natural attrition, induced redeployment, involuntary redeployment, layoff with outplacement assistance, and layoff without outplacement assistance. Also presented in Figure 1 are examples of tactics that can be used to implement these strategies.

Employees' well-being is proposed to be a function of their subjective reactions to the work force reduction strategy which, in turn, depends on the amount of control that they experience over their continuity of employment (Greenhalgh & Rosenblatt, 1984). A work force reduction strategy that causes changes in the continuity of employment—like other potential stressors—will cause less harm if people can influence its onset, duration, and magnitude (Seligman, 1975; Sutton & Kahn, 1987). Unfortunately, as proposed in Figure 1 and explained below, if work force reduction stategies allow employees greater control over the continuity of their employment, short-term cost savings for the declining organization will be less rapid.

Natural attrition entails freezing or limiting the influx of new employees. The work force shrinks either because employees who resign, die, or retire are not replaced or because employees who leave are replaced more slowly. This strategy offers the greatest amount of control because it does not alter the psychological contract between the organization and its employees (Schein, 1978). Although attrition can be expeditious when turnover is high in oversupplied jobs, it is usually the slowest of the five means of reducing labor costs (Adamson & Axmith, 1983).

If the rate of natural attrition is too low, it can be boosted by *induced redeployment*. Managers can increase the attraction of transferring to undersupplied jobs, perhaps by offering retraining. Inducements for leaving the organization include giving employees incentives for early retirement and making them aware that advancement opportunities are no longer available. Some organizations have shrunk payroll costs by offering the option of shorter workdays or workweeks, sometimes supplemented by unemployment compensation (Best, 1981; Kerachsky, Nicholson, Cavin, & Hershey, 1985; Mesa, 1984; Perry, 1986).

Induced redeployment allows management to reduce economic costs due to oversupply of labor more quickly than natural attrition. In addition, although some methods of induced attrition may hamper employees' control over continuity of employment (e.g., pressure to take early

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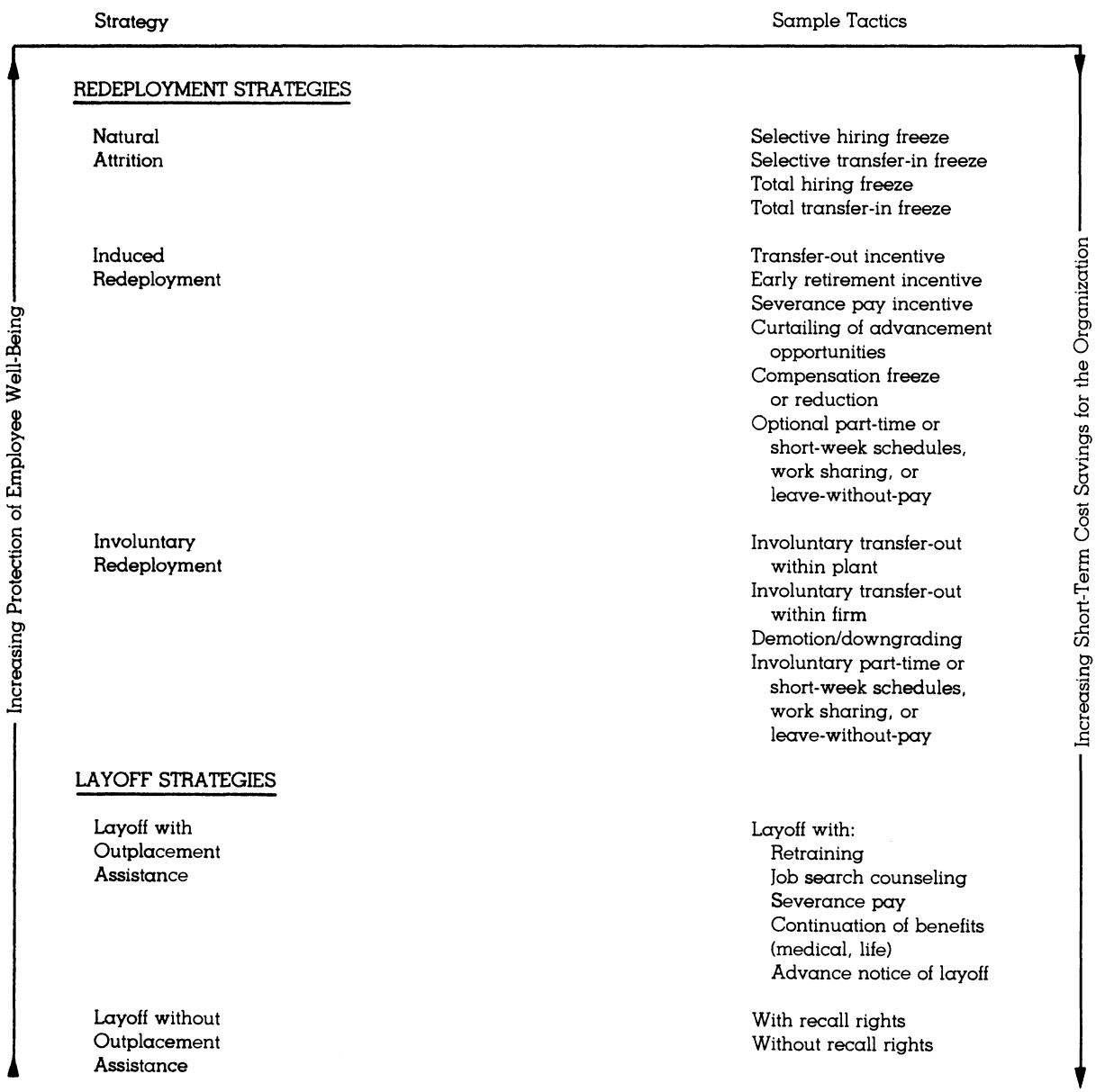


Figure 1. **Strategies and tactics for work force reduction: The range of options for declining organizations.**

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retirement), these essentially voluntary methods are less distressing than layoffs because they do not threaten employees' economic security.

The third strategy, *involuntary redeployment*, requires employees to accept these changes. For example, employees may be required to transfer to other positions, to accept reduced work hours, or to take unpaid leaves of absence. Such strategies reduce costs quickly because they can be implemented immediately. Involuntary redeployment, however, means that employees feel that they cannot influence the continuity of their employment even though they are not threatened with job loss (Greenhalgh & Rosenblatt, 1984).

The fourth and fifth strategies entail layoffs. Layoffs cut payroll costs immediately, but remove employees' control over their basic economic security. *Layoffs with outplacement support* are more costly; however, outplacement support may provide displaced employees with marginal control. Retraining and job search counseling provide a wider range of employment opportunities for people who have lost jobs. Severance pay and continued benefits permit laid-off employees either to conduct a more extensive job search or to undertake a period of retraining. *Layoffs without outplacement* do not allow employees these forms of control over the role transition that follows layoff, but it results in greater short-term savings for the organization.

The more severe methods of work force reduction, particularly layoffs, appear to be most typical. A national survey of personnel practices found that 58 percent of firms had laid off employees. Of these, 53 percent offered outplacement counseling, 66 percent provided severance pay, 70 percent continued health benefits for at least one month, and 28 percent gave more than two weeks of advance notice (Bureau of National Affairs, 1978).

In contrast, methods of work force reduction that stop short of layoffs are rare. A study of personnel stabilization practices estimated that no more than two or three dozen U.S. firms maintain an active commitment to provide continuous employment for some or all of their employees (Dyer, Foltman, & Milkovich, 1985). Major corporations that routinely use strategies of natural and induced attrition include IBM, Lincoln Electric, and Materials Resource Corporation.

The Model

Organizational decline occurs when an organization either fails to maintain its level of adaptation to a stable niche or fails to increase its domination of a contracting niche (Greenhalgh, 1983; Zammuto & Cameron, 1985). Because it is difficult to measure an organization's failure to adapt, decline is defined here as the managerial perception that such failure has occurred. Work force reduction is viewed as a response to organizational decline, not the phenomenon itself (Cameron, Sutton, & Whetten, in press). Indeed, organizations sometimes *reverse* decline by decreasing their work forces. For example, the Chrysler Corporation helped stem its decline by reducing its work force by 50 percent (Iacocca, 1984). In Figure 2, factors that influence the choice of work force reduction strategies in organizations in which managers perceive that decline has created an oversupply of labor are identified.

The framework presented in Figure 2 proposes that both the perceived features of the work force oversupply and the context of the oversupply influence managerial choice of work force reduction strategy. We first consider how such strategic choices are influenced by the perceived magnitude, duration, and predictability of the work force oversupply.

Proposition 1.1: If the perceived magnitude of the oversupply of labor is high, decision makers will choose severe work force reduction strategies.

A large number of surplus employees will be overwhelming for most attrition and redeployment strategies. The rate of turnover in oversupplied jobs must be sufficient to reduce the work force to target levels within an economically feasible period of time. For example, although General Motors reduced its white-collar work force

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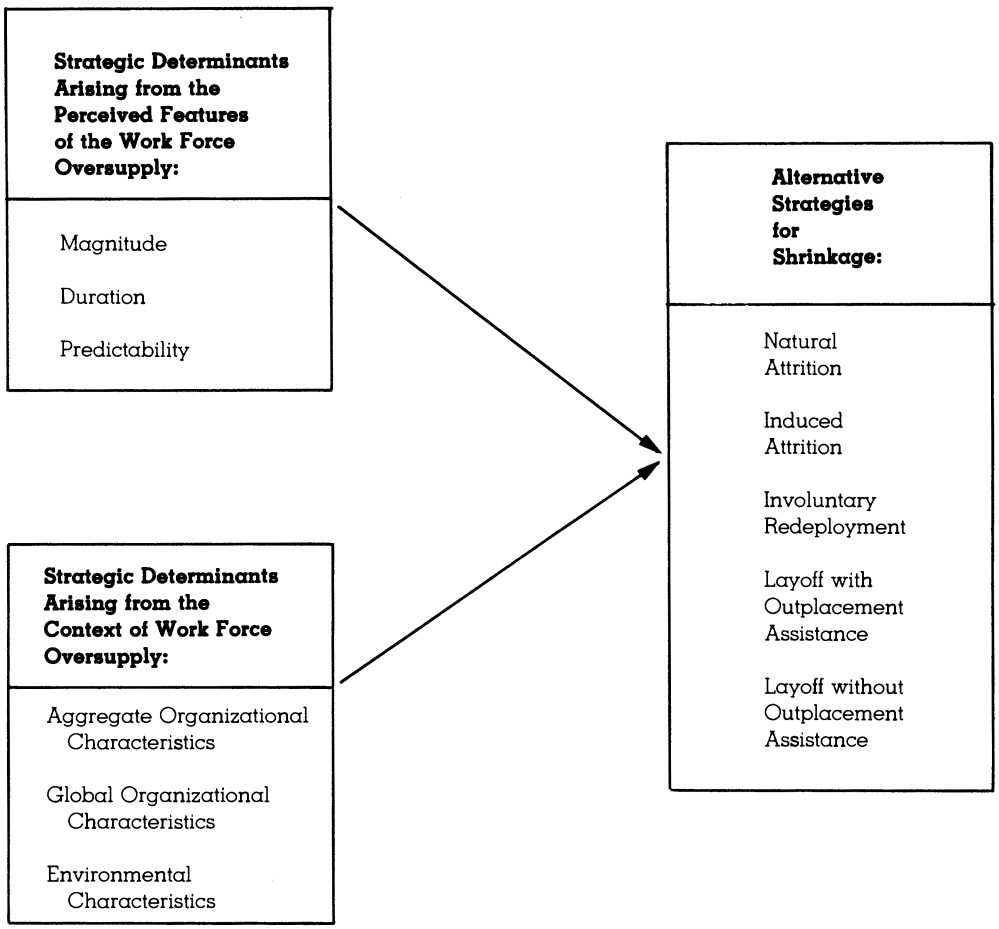


***Figure 2.* Determinants of work force reduction strategies in declining organizations.**

by approximately 10 percent in six years through attrition, it may be forced to use more severe methods to meet its goal of a further 25 percent cut by 1990 ("GM: What Went," 1987).

Proposition 1.2: If the oversupply is forecast to last only a short time, decision makers will choose less severe work force reduction strategies.

Redeployment conserves the work force until demand returns. If the oversupply of labor is forecast to be brief, most managers will prefer to absorb the costs of redeployment in order to retain valued employees. For example, Kawasaki Motors had an oversupply of labor at its Lincoln, Nebraska plant in 1982. Believing the industry recession was temporary, managers paid surplus employees to work on projects for the city. Thus, the company was able to recall employees as they became needed (Clutterback, 1982).

Proposition 1.3: If the oversupply is unpredictable in magnitude or duration, decision makers will choose more severe work force reduction strategies, and they will make greater work force cuts than immediately required.

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The trauma of severe work force reduction strategies is increased when the process continues over time. Even survivors whose continued employment is objectively secure often continue to "wait for the other shoe to fall" (Greenhalgh & Rosenblatt, 1984). The negative effects of waves of layoffs have been reported in case studies of the Atari Corporation (Sutton, Eisenhardt, & Jucker, 1986), Amax (Reibstein, 1985), and American Telephone & Telegraph (Guyon, 1986), and they have been noted in the decline of the hospital industry (White, 1985). To avoid this stress, managers make cuts that exceed the expected oversupply. For example, managers at Apple Computers made a single, deep layoff in July, 1985, because they were uncertain about their future oversupply of labor (Clock, Rosenkopf, Sambado, & Thompson, 1986).

Managers' perceptions of the magnitude, longevity, and predictability of the oversupply of labor set limits on, but are not the sole determinants of, the choices they make. A challenging issue for researchers is why different organizations respond so diversely to similar levels of oversupply. For example, the semiconductor industry in the United States underwent a steep decline beginning in 1984. IBM survived the downturn without layoffs by relying exclusively on attrition and voluntary transfers (Greenhalgh, McKersie, & Gilkey, 1986; Perry, 1986). Advanced Micro Devices tried to maintain its no-layoff policy, but was forced to make modest use of layoffs because of the depth of the recession. In contrast, National Semiconductor quickly instituted extensive layoffs.

Contextual Variables

The context in which oversupply occurs explains why there is not a one-to-one match between the perceived oversupply and the choice of strategy. In Figure 2 and Table 1, distinctions are made between three sets of contextual variables. The distinction between organizational and environmental variables follows from classic works (e.g., Katz & Kahn, 1978; Lawrence & Lorsch, 1967). These categories reflect a further distinction made by Roberts, Hulin, and Rousseau (1978) between organizational characteristics that are *aggregate* (formed from some composite of individual-level scores) and those that are *global* (not logically divisible across individuals).

Aggregate Organizational Characteristics. The attributes of the individuals who compose an organization's work force can be potent determinants of work force reduction strategies. Relevant aggregate organizational characteristics include the level of skill, the type of skill, and age.

Proposition 2.1: If employees are unskilled or possess mainly generic skills, or if the external supply of skills is large, decision makers will choose severe work force reduction strategies, particularly layoffs.

Table 1
Summary of Contextual Variables Affecting Managerial Choice of Work Force Reduction Strategy During Organizational Decline

Aggregate Organizational Characteristics
Level of Skill
External Demand for Skills
Mix of Generic and Organization-Specific Skills
Age and Seniority
Global Organizational Characteristics
Structure of the Firm (Multidivisional vs. Unitary)
Use of Temporary Workers
Level of Slack Resources
Organizational History and Value System
Environmental Characteristics
Public vs. Private Sector
Publicly Held vs. Privately Held
Unionization
Public Policy Context

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Managers are more likely to use layoffs when replacements (needed in the event of a turnaround) are easy to hire and train. Perhaps one reason that auto makers traditionally have used layoffs is that semi-skilled assembly workers are easily available and inexpensive to train. In contrast, high-technology companies that do not use layoffs—such as Hewlett-Packard and IBM—staff a large number of highly skilled workers who are expensive to both recruit and train.

Proposition 2.2: If external demand for employee skills is low, decision makers will avoid attrition programs.

Attrition strategies do not work well in low-demand external labor markets because the "pull" of external opportunities is weak. Thus, strategies such as internal transfer, early retirement, and layoffs must be used. For example, attrition programs would have been ineffective for the Armour plants that closed in the 1960s (Shultz & Weber, 1966). Because these plants were located in labor markets where demand for the workers' skills was low, executives at Armour felt compelled to use layoffs and outplacement assistance.

Proposition 2.3: If employees possess mainly organization-specific skills, decision makers will choose redeployment.

Generic skills (e.g., using accounting software) can be both acquired and used outside a specific declining organization. In contrast, organization-specific skills must be developed through socialization, on-the-job training, or trial-and-error learning (Van Maanen, 1976).

The mix of generic and specific skills peculiar to the declining organization will affect the choice of work force reduction strategies. When loss of human capital is relatively unimportant, such as when surplus employees have readily replaceable skills, more severe strategies will seem attractive to managers. In contrast, when organization-specific skills predominate, less severe strategies will be used to avoid the costs of recruiting and training replacements when demand for the product recovers (Becker, 1980; Oi, 1962). For example, Polaroid instituted job sharing to avoid laying off 100 employees who had valuable, firm-specific skills (Perry, 1986).

Proposition 2.4: Decision makers are less likely to choose layoff strategies when employees are older and seniority levels are high.

Senior employees typically have more organization-specific skills and greater loyalty; these assets are lost during a layoff. Furthermore, the organization may incur large "exit" costs, especially if the employment contract provides for generous separation benefits based on length of service. Finally, because older employees typically have difficulty obtaining comparable pay and benefits after a layoff (Shultz & Weber, 1966), managers may be hesitant to dismiss them.

Global Organizational Characteristics. Global characteristics of organizations that may constrain managers' choices of strategies include the structure of the firm, the use of temporary or part-time workers, the amount of slack resources, and the organization's history and values.

Proposition 3.1: Layoffs are less likely in internally diversified, multidivisional firms.

The structure of the firm frames the opportunities and constraints within which managerial strategy is enacted. For example, diversification increases the probability that cutbacks in one sector of the firm's operations can be offset by growth in others. In diversified firms, profits from healthy subunits can subsidize payroll costs in ailing subunits, and employees can be transferred from division to division, as necessary. For example, a multidivisional structure has helped IBM to reduce its work force through attrition and voluntary redeployment (Greenhalgh et al., 1986).

Proposition 3.2: Firms that rely on temporary workers as internal buffers will be less likely to reduce their core work force in response to decline.

An increasing number of firms use temporary help to buffer their core group of employees from environmental disturbances (Magnum, Mayall, & Nelson, 1985): In effect, the employees of other firms are used to absorb fluctuations (Pfeffer &

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Baron, in press). For example, Control Data Corporation has relied on temporary workers as a "ring of defense" to insulate its employees from job loss. However, this company's story also illustrates that using temporary workers cannot protect against extreme, unexpected oversupply: The company lost $568 million in 1985 and was forced to lay off ten percent of its work force (Johnson, 1986).

Proposition 3.3: The lower the level of slack resources available to managers, the greater will be their use of severe work force reduction strategies.

Organizations that have a greater level of either recommittable resources or liquid slack resources (Greenhalgh, 1983) can endure a decline longer without using severe work force reduction strategies. Waiting for employees to leave through attrition requires that a company pay for people who are no longer needed. Inducements to stimulate attrition, such as severance and early retirement, also drain the organization of needed cash. Transfers within the organizations can be costly because transferred employees are paid full wages during the unproductive times when they are moving or adjusting to their new jobs. Outplacement also can be expensive: For example, retraining and job counseling that were provided by Ford Motor Company, the United Auto Workers, and the state government following the closing of a California auto assembly plant in 1984 cost more than $5 million (Office of Technology Assessment, 1986).

In some cases, firms that have a strong commitment to protecting employees' job security may try to *increase* their slack resources in order to avoid layoffs. For example, Xerox Corporation, working cooperatively with the Amalgamated Clothing and Textile Workers Union, implemented over $3 million in cost-cutting measures at one of the firm's plants in order to avoid closing one department and laying off many employees (Heneman et al., 1986).

Proposition 3.4: If the organization has experienced decline in the past, decision makers will use less severe work force reduction strategies.

Managers who have experienced decline in the past will be more likely to recognize oversupply problems earlier and, thus, are able to use less severe work force reduction strategies. In contrast, inexperienced managers are likely to view the decline as a temporary aberration rather than a long-term problem (Whetten, 1980). Thus, they are more likely to procrastinate, and later they will be forced to use strategies that reduce costs immediately. For example, even though administrators of a California hospital first experienced a significant drop in the number of patients in 1983, they took little action to reduce their work force until 1986, believing the decline was temporary; by the time they realized it was not, they were compelled to use layoffs.

Proposition 3.5: If the organization's espoused values emphasize the importance of treating members humanely, less severe work force reduction strategies will be used.

Espoused values that emphasize concern for the individual over short-term profits can have a profound effect on managers' decisions about how to shrink the work force. The most obvious impact is that employee-oriented values will lead to a preference for less severe strategies. Lincoln Electric is a classic example of a company that has maintained a no-layoff policy for over 50 years despite industry upheavals (Fast & Berg, 1975).

Even when a steep decline occurs, organizations that have espoused humanistic values try to avoid using severe work force reduction strategies. For example, Advanced Micro Devices tried to maintain its no-layoff policy during the 1984–1985 downturn in the semiconductor industry. The company imposed a hiring freeze, reduced work weeks for some employees, and required a 44-hour week for other employees whose extra effort was considered essential for recovery. Advanced Micro Devices was able to maintain its commitment for months after other competitors had made major layoffs, although the steep drop in demand for its product ultimately forced the firm to abandon the policy.

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Proposition 3.6: Employee-oriented values are less likely to influence work force reduction strategies when they have not been tested by prior organizational decline.

Many organizations have adopted guiding principles that espouse humanistic values, but they have not taken the necessary step of developing routines to implement them. When a sudden downturn in a product market occurs, managers must operate in an atmosphere of stress, confusion, and blame. Environments characterized by a high level of threat are not conducive to the development of sophisticated, new individual or organizational responses (Staw et al., 1981), such as those routines needed to implement humanistic work force reduction strategies. Thus, managers who are inexperienced in dealing with an oversupply of employees are likely to seek expedient solutions and, therefore, will choose severe work force reduction strategies, despite their strong commitment to humanistic values. The Atari Corporation (Sutton et al., 1986), for example, abandoned its espoused people-oriented employment practices soon after the onset of a sharp and unexpected market decline.

Environmental Characteristics. Organization theorists view the environment as a source of resources and constraints that has a profound influence on organizations (Aldrich & Pfeffer, 1976; Scott, 1981). Environmental characteristics that shape the choice of work force reduction strategies include public versus private sector, ownership, unionization, and public policy.

Proposition 4.1: Public agencies are less likely to adopt severe work force reduction strategies than are private sector firms.

The selection of managerial personnel policies is influenced by whether an organization is in the public or private sector (Dobbin, Edleman, Meyer, Scott, & Swidler, in press). Public or quasi-public organizations require popular goodwill for survival and growth (DiMaggio & Powell, 1983; Meyer & Rowan, 1977; Meyer & Scott, 1983). Personnel policies that appear unusually severe or inequitable may threaten taxpayers' support of these organizations. In addition, the job security of many public sector employees is protected by civil service regulations. Also, public agencies (and quasi-public utilities) operate in less competitive environments than do private firms; therefore, they can afford to be less responsive to the immediate pressures of cutting costs. For example, the U.S. Postal Service guarantees lifetime job security for employees who have more than six years of seniority, unless they are fired. The agency is able to afford its employment security policy, in part, through its monopoly over first-class mail delivery and its ability to pass on costs through higher rates.

Proposition 4.2: Publicly held private sector firms will be more likely than privately held firms to adopt severe work force reduction strategies.

Managers of publicly held firms often experience pressure to improve quarterly earnings. In companies in which stock prices are responsive to short-term profit fluctuations, managers often base human resource decisions on short-term costs, which can include the use of more severe work force reduction strategies. In the extreme case, firms that were threatened by hostile takeover bids by major stockholders, such as CBS and Atlantic Richfield, have responded with defensive maneuvers to raise or preserve cash, including large-scale layoffs (Hirsch, 1987). By contrast, privately held firms typically can take a longer-term view, often choosing to retain valued employees during periods of oversupply.

Proposition 4.3: Unionized organizations will be less likely to choose severe work force reduction strategies.

Managerial choice is influenced by collective bargaining agreements negotiated with unions for both public agencies and private firms. Contract provisions may require advance notice of layoffs, transfer opportunities, or outplacement assistance (Bureau of National Affairs, 1983; U.S. Bureau of Labor Statistics, 1981). Advance notice of layoffs often leads to discussions between union and management that generate proposals for avoiding layoffs, such as economic con-

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cessions traded for job security. Advance notice also increases the likelihood that the union will negotiate severance pay and other forms of outplacement assistance (Lawrence, 1986). Contract provisions may discourage layoffs indirectly by increasing their cost through severance pay, early retirement, extension of insurance, retraining, or outplacement services (Lawrence & Chown, 1983). Such job security provisions are most common in contracts that are negotiated at the national or regional—rather than local—levels, suggesting that less severe work force reduction strategies may be concentrated in firms in which the industrial relations functions are centralized (Lawrence, 1985).

Proposition 4.4: Less severe work force reduction strategies will be used in countries or states that have enacted legislation for closing plants.

Plant closings and major layoffs are regulated by law in many European countries. In Sweden, the United Kingdom, and West Germany, for instance, employers are required to give advance notice of plant closings or major layoffs, and in some cases they must provide employees with financial assistance and retraining. These restrictions cause many European organizations to reduce work hours rather than to lay off employees (Martin, 1983). No comparable national legislation exists in the United States, but several states either require or provide incentives to encourage advance notice of plant closings and mass layoffs (Folbre, Leighton, & Roderick, 1984). None of these state or local ordinances approaches European constraint levels, however.

Discussion

The hierarchy of strategies for work force reduction proposed here may require further development. The options reflect a trade-off between protecting the well-being of employees and saving costs during the short term for the organization. The hierarchy might be enriched by consideration of other criteria, such as consistency with organizational objectives, long-term costs, acceptability to the public, employee health, and ease of implementation.

The model for predicting which strategies will be chosen by managers, summarized in Figure 2, also is preliminary. Causal relationships among the characteristics of the oversupply, contextual variables, and strategic choices probably are more complex than the model suggests. For example, a basic theme has been that the depth of decline is an important determinant of the choice of reduction strategy. The relationship, in fact, may be reciprocal: The choice of the work force reduction strategy is likely to influence subsequent decline (Greenhalgh, 1983; Masuch, 1985).

Moreover, the model does not consider relationships among the context variables. In particular, it may be difficult to predict the choice of strategy when decision makers face conflicting constraints. To illustrate, although some high-technology firms hold employee-oriented values and have skilled workers, they have limited slack liquid resources. For them, a sudden decline presents a dilemma: How can the work force be reduced quickly without using severe strategies that violate organizational values and displace employees who will be difficult to replace during better times?

Additional theoretical and empirical work is needed on the implementation of work force reduction strategies. Normative theories of strategic choice prescribe three steps: development of a strategy, selection of specific tactics, and implementation of these tactics. In practice, however, managers may not follow this sequence. Instead, they may choose specific work force reduction tactics (e.g., hiring freeze or job sharing) without having a general strategy for how to deal with the oversupply problem. Also, ignorance about alternatives may limit the choices considered by decision makers. For example, Greenhalgh and McKersie (1980) observed that many managers incorrectly used the terms *work force reduction* and *layoff* interchangeably, suggesting a commitment to a course of action with no consideration of alternatives.

The issue of implementation deserves particular attention because it can determine the success of any work force reduction strategy, both

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in terms of employee well-being and cost effectiveness. Furthermore, implementation perplexes managers because of the dilemmas it poses.

The first dilemma arises over *who* will be displaced. For example, managers might prefer to make across-the-board percentage cuts to maintain the perception of fairness. This may be seen as inequitable, however, if others construe that across-the-board cuts penalize efficient departments in which there are no surplus employees (Levine, 1979). Similarly, managers may be forced to decide whether to lay off employees on the basis of merit or seniority. Although managers may prefer to lay off workers according to merit, workers may perceive that the system of performance evaluation used as the basis for such decisions is arbitrary or unfair.

Second, the *speed* of implementation can pose a dilemma. Rapid work force reduction saves payroll costs, but may not give employees enough time to come to terms with their predicament. As a result, they leave in a state of shock, psychologically unprepared to begin the search for replacement employment. On the other hand, if there is too much advance notice, employees may engage in psychological denial about the inevitability of their job loss, and likewise begin their unemployment in a state of shock (Cobb & Kasl, 1977; Slote, 1969).

Third, satisfying employees' *need for control* poses an implementation dilemma. Even when managers want to involve employees in the work force reduction process, it is unrealistic to expect them to preside over their own dismissal. Nevertheless, leaders should explain to employees the rationale for managerial actions. According to conceptual work by Sutton and Kahn (1987), work force reduction may cause less damage to people when both displaced and surviving employees understand the reasons for the reduction and can predict and control the associated sequence of events. Consistent with this employee need, IBM managers "overcommunicate" during such periods (Greenhalgh et al., 1986).

The purpose of this paper has been to predict which work force reduction strategies decision makers *will* use, not to prescribe which strategies they *should* use. Nevertheless, as we argued at the outset, choosing the wrong form of work force reduction can hamper organizational effectiveness. For example, Greenhalgh and McKersie (1980) demonstrated that the long-term costs of layoffs exceeded those of natural attrition in a declining public sector organization; these findings may generalize to many private sector settings. Yet, on the whole, little is known about the costs and benefits of various work force reduction strategies. The model presented here should prove useful for such an analysis because it presents some of the primary forces and constraints that managers of declining organizations experience when deciding to reduce the work force.

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